Airbus

Airbus Commercial set up for €10bn EBIT guide

Reiterate Rating: BUY | PO: 258.00 EUR | Price: 177.00 EUR

Airbus Commercial setting up for a €10bn EBIT guide

Airbus' 21 July business update could be the point at which management introduces a mid-term framework for Commercial. We see the most likely format as absolute EBIT guidance, and that it would be framed around A320 at rate 75/month and A350 at rate 12/month, rather than a specific year. We think providing a guide is important, allowing the market to focus on the mid-term earnings of the business. We see Commercial earnings power of €14-16bn EBIT pre R&D, with a conservative R&D assumption of €3-4bn could drive a €10bn EBIT guide. We update FCF ests mid-term for CapEx/tax and roll PO to 2029, where we see Airbus reaching stable production. PO to €258 (ADR $76.11). Reiterate Buy rating.

Guide framework should be based on rate, not a year

On our numbers, rate 75/mnth on A320, 12/mnth on A350 could support ~€10bn of Commercial EBIT. The A320 remains the core earnings driver and, at rate 75, we see it capable of generating €12–13bn of EBIT pre-R&D. The A350 should become the second major profit contributor as pricing improves and mix shifts toward the -1000, supporting roughly €2.5bn of EBIT pre-R&D at rate 12. With A220 breakeven, c.€700mn A330neo profit & Services, Commercial could generate €14–16bn of EBIT pre-R&D at full-rate.

R&D an important flex item in the mid-term framework

The key flex item is R&D. Airbus is currently spending c.€2.7bn, and we see this rising toward €3.3bn by the end of the decade. However, management may choose to guide more conservatively using €3–4bn to preserve flexibility around future product decisions. Even on that basis, we think a ~€10bn Commercial EBIT guide would be achievable and likely conservative. We see any major NSA investment step-up as more likely post-2030.

Providing a guide in-itself an important dynamic for many

A mid-term framework would help shift investor focus away from monthly delivery noise and toward the underlying earnings power of the business. Against ~€10bn of Commercial EBIT, plus prior mid-term ambitions for Helis and Defence & Space, the market could anchor around ~€13bn of group EBIT and ~€10bn of FCF toward the end of the decade. That would leave Airbus on c.8x mid-term EBIT and an >8% FCF yield.

Estimates (Dec) (EUR)	2024A	2025A	2026E	2027E	2028E
EPS (Adjusted)	5.42	7.94	6.91	7.89	11.3
EPS Change (YoY)	-14.9%	46.4%	-13.0%	14.2%	43.4%
Dividend / Share	2.00	3.20	3.45	3.95	5.66
ADR EPS (Adjusted - US$)	1.47	2.24	2.01	2.29	3.28
ADR Dividend / Share (US$)	0.54	0.90	1.00	1.15	1.64
Valuation (Dec)					
P/E	32.7x	22.3x	25.6x	22.4x	15.6x
Dividend Yield	1.13%	1.81%	1.95%	2.23%	3.20%
EV / EBITDA*	17.8x	14.0x	13.3x	12.2x	9.75x
Free Cash Flow Yield*	2.83%	3.21%	3.02%	4.42%	6.41%

* For full definitions of IQmethod℠ measures, see page 9.

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Timestamp: 05 June 2026 01:30AM EDT

05 June 2026

Equity

Key Changes

(EUR)	Previous	Current
Price Obj.	255.00	258.00
2026E Rev (m)	77,143.8	77,265.5
2027E Rev (m)	86,037.3	86,159.1
2028E Rev (m)	94,903.5	95,025.3
2026E EPS	6.90	6.91
2026E DPS	2.78	3.45

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Stock Data

Price (Common / ADR)	177.00 EUR / 51.38 USD
Price Objective	258.00 EUR / 76.11 USD
Date Established	5-Jun-2026 / 5-Jun-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	157.42 EUR-221.30 EUR
Market Value (mn)	139,006 EUR
Shares Outstanding (mn)	785.3 / 3,141.4
Average Daily Value (mn)	289.73 USD
Free Float	72.0%
BofA Ticker / Exchange	EADSF / ENP
BofA Ticker / Exchange	EADSY / OTU
Bloomberg / Reuters	AIR FP / AIR.PA
ROE (2026E)	19.7%
Net Dbt to Eqty (Dec-2025A)	-49.5%

NSA – Next Gen Single Aisle

iQprofile℠ Airbus

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(EUR Millions)					
Sales	69,230	73,420	77,266	86,159	95,025
EBITDA Adjusted	8,979	11,390	12,028	13,079	16,413
Depreciation & Amortization	(2,853)	(3,133)	(3,657)	(3,772)	(3,872)
EBIT Adjusted	6,126	8,257	8,371	9,307	12,541
Net Interest & Other Income	121	268	(48.3)	(5.88)	30.3
Tax Expense / Benefit	(1,347)	(1,390)	(1,970)	(2,234)	(3,118)
Net Income (Adjusted)	4,282	6,267	5,439	6,143	8,513
Average Fully Diluted Shares Outstanding	790	790	787	778	752
Key Cash Flow Statement Data					
Net Income (Reported)	4,232	5,221	5,366	6,070	8,440
Depreciation & Amortization	2,853	3,133	3,657	3,772	3,872
Change in Working Capital	1,337	100	(300)	500	500
Deferred Taxation Charge	0	0	0	0	0
Other CFO	(1,089)	(465)	(944)	(681)	(711)
Cash Flow from Operations	**7,333**	**7,989**	**7,779**	**9,660**	**12,101**
Capital Expenditure	(3,669)	(3,964)	(3,952)	(3,952)	(3,952)
(Acquisition) / Disposal of Investments	(587)	326	0	0	0
Other CFI	98.0	69.0	0	0	0
Cash Flow from Investing	**(4,158)**	**(3,569)**	**(3,952)**	**(3,952)**	**(3,952)**
Share Issue / (Repurchase)	(276)	(565)	0	(3,000)	(6,000)
Cost of Dividends Paid	(2,216)	(2,374)	(2,519)	(2,720)	(3,037)
Increase (decrease) debt	688	(30.0)	(500)	(500)	(500)
Other CFF	(3,030)	(2,708)	0	0	0
Cash Flow from Financing	**(4,834)**	**(5,677)**	**(3,019)**	**(6,220)**	**(9,537)**
Total Cash Flow (CFO + CFI + CFF)	**(1,659)**	**(1,257)**	**808**	**(511)**	**(1,388)**
FX and other changes to cash	3,245	1,611	387	387	387
Change in Cash	1,586	354	1,195	(124)	(1,001)
Change in Net Debt	(898)	(384)	(1,695)	(376)	501
Net Debt	(12,585)	(12,969)	(14,664)	(15,039)	(14,538)
Key Balance Sheet Data					
Property, Plant & Equipment	19,112	20,893	21,777	22,546	23,215
Goodwill	13,449	13,556	13,556	13,556	14,180
Other Intangibles	3,730	3,291	2,702	2,113	1,524
Other Non-Current Assets	14,458	13,555	13,161	12,714	12,091
Trade Receivables	5,293	5,454	5,454	5,454	5,454
Cash & Equivalents	26,864	27,218	28,413	28,288	27,287
Other Current Assets	46,246	50,909	52,409	52,909	53,409
Total Assets	129,152	134,876	137,471	137,580	137,159
Long-Term Debt	10,355	9,063	8,563	8,063	7,563
Other Non-Current Liabilities	21,193	15,269	14,169	13,387	13,807
Short-Term Debt	3,924	5,186	5,186	5,186	5,186
Other Current Liabilities	73,984	79,174	80,374	81,374	82,374
Total Liabilities	109,456	108,692	108,292	108,010	108,930
Total Equity	19,696	26,184	29,179	29,570	28,229
Total Equity & Liabilities	129,152	134,876	137,471	137,580	137,159
Business Performance*					
Return On Capital Employed	11.1%	14.1%	13.2%	14.3%	18.9%
Return On Equity	23.0%	27.4%	19.7%	20.9%	29.5%
Operating Margin	7.66%	8.28%	9.51%	9.61%	12.1%
Free Cash Flow (MM)	3,958	4,481	4,214	6,095	8,536
Quality of Earnings*					
Cash Realization Ratio	1.71x	1.27x	1.43x	1.57x	1.42x
Asset Replacement Ratio	1.86x	1.81x	1.46x	1.40x	1.35x
Tax Rate	24.8%	21.9%	27.0%	27.0%	27.0%
Net Debt/Equity	-63.9%	-49.5%	-50.3%	-50.9%	-51.5%
Interest Cover	6.81x	10.7x	11.0x	12.6x	17.6x

* For full definitions of *iQmethod*℠ measures, see page 9.

Company Sector

Aerospace

Company Description

Airbus is a global leader in aerospace, defence and related services. Airbus Commercial, the primary division (73% FY23 sales), specializes in commercial aircraft production (100+ seat market - duopoly with Boeing). The other core divisions are Airbus Helicopters (previously Eurocopter 1% FY23 sales), a leader in commercial helicopters, and Airbus Defence & Space (17% FY23 sales, previously Airbus military aircraft, Astrium and Cassidian).

Investment Rationale

2026 has seen strong improvement in the supply chain, and despite year end timing challenges, we expect this to continue into 2027. We see a strong step up in deliveries over the next 2-3 years driving solid margin expansion and improved cash return to shareholders.

Stock Data

Shares / ADR	0.25
Price to Book Value	4.8x

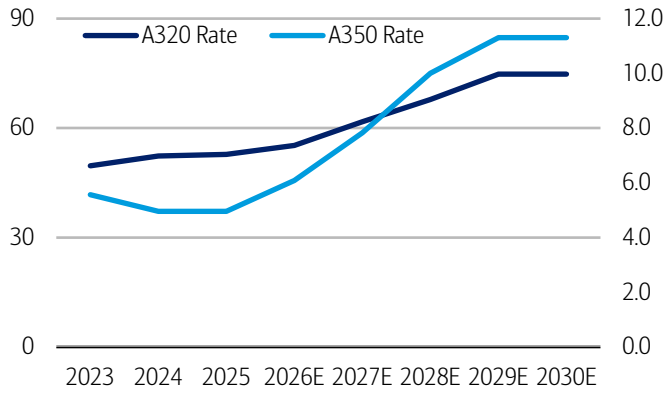
Key Changes

(US$)	Previous	Current
Price Obj.	75.00	76.11
2026E EPS	2.00	2.01
2028E EPS	3.29	3.28
2026E DPS	0.81	1.00

Airbus Commercial setting up for a €10bn EBIT guide

Airbus is hosting a business update on 21 July, and we think there is a credible likelihood the company uses the event to introduce a mid-term guidance framework for Commercial Aircraft. In our view, the most likely format would be absolute EBIT rather than margin guidance, consistent with the framework Airbus provided for Helicopters and Defence & Space at Le Bourget last year. We also think any guidance would likely be tied to industrial end-state assumptions i.e. A320 family at rate 75/month and A350 at rate 12/month rather than to a specific year, given the continuing risk that supply-chain constraints could shift the timing of those milestones.

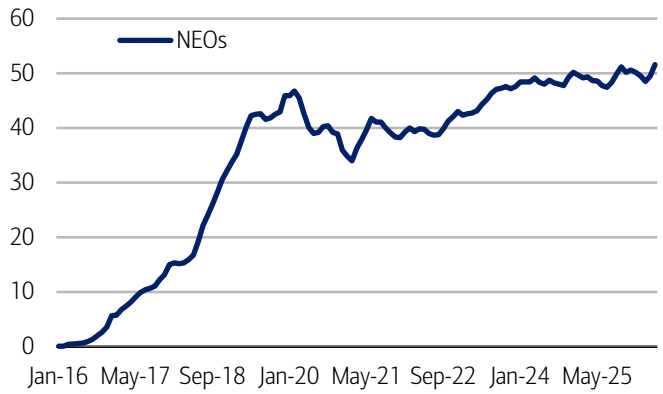
Exhibit 1: A320 and A350 monthly production rates
Both the A320/A350 ramps are key to the margin expansion story



Source: Company reports, BofA Global Research estimates

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Exhibit 2: NEO 12 month rolling deliveries
A320/A321 deliveries are progressively moving in the right direction

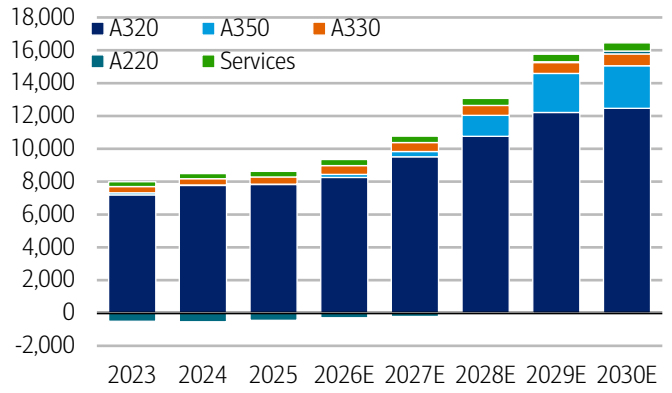


Source: Company reports, BofA Global Research estimates

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Looking at Airbus Commercial on a pre-R&D basis, and programme by programme, we estimate that the A330, A220 and A350 were broadly breakeven across FY23–24, leaving the A320 family as the primary EBIT driver. The c.€7.5–7.8bn of pre-R&D EBIT generated in 2023–24 across A320 deliveries implies roughly €13m EBIT per aircraft at a production rate of around 50–52/month. Based on the past nine quarters of delivery progression, we estimate the incremental drop-through on an A320/A321 at €16–18m per aircraft. On that basis, moving from rate 50 to rate 75 would imply €14–15m of absolute EBIT per aircraft at rate 75, supporting €12–13bn of pre-R&D EBIT from the A320 family alone once the rate is achieved and stabilised.

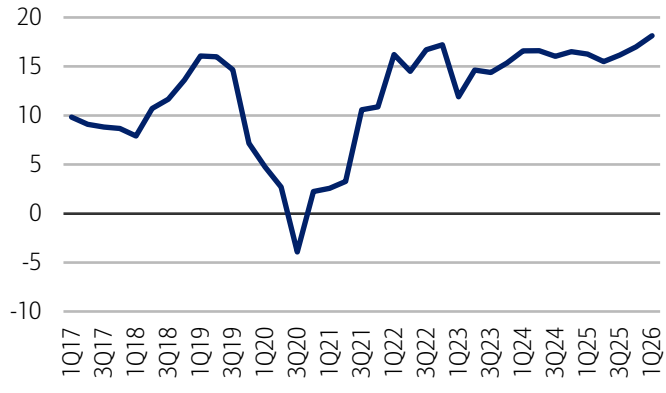
Exhibit 3: EBIT Pre R&D per platform at Airbus
EBIT Pre R&D for the different platforms will grow over the next 5 years



Source: Company reports, BofA Global Research estimates

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Exhibit 4: Incremental EBIT per A320/A321
We estimate the A320/321 per plane drop through at €16–18m



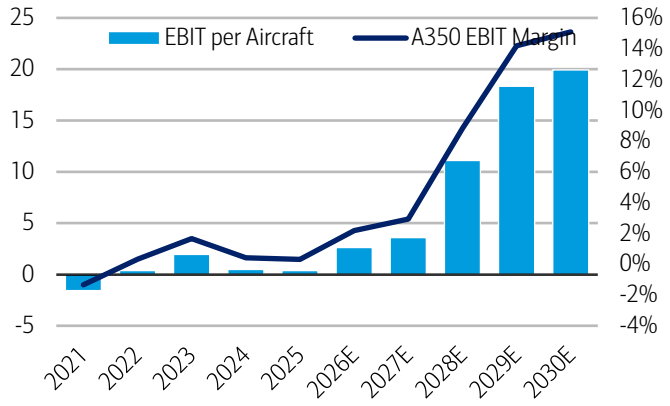
Source: Company reports, BofA Global Research estimates

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The A350 should provide the second leg of the earnings story as it ramps toward 12/month. Pricing has clearly improved, and the delivery mix is also shifting more favourably toward the -1000, which we see as carrying a modestly better margin than the -900. We therefore view the A350 as capable of becoming a mid-teens margin programme at rate 12/month and in a stable production environment, which would equate to roughly €2.5bn of pre-R&D EBIT. Assuming the A220 remains around breakeven, and the A330neo contributes c.€700m (based on c.5/month at ~€12m EBIT per aircraft at the end of the decade), this would support a pre-R&D EBIT range of roughly €14–16bn for Airbus Commercial at full-rate, stabilised production with a strong level of buffer in there for conservatism.

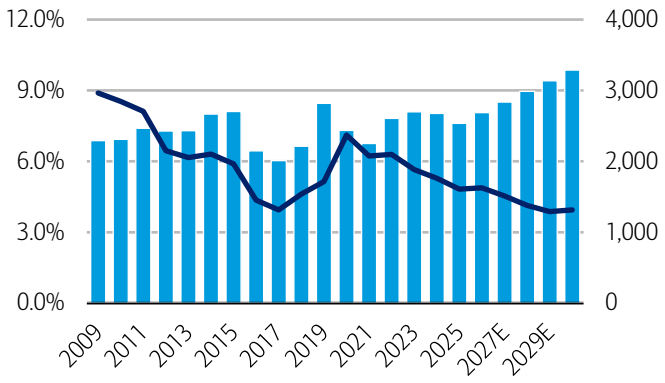
Exhibit 5: A350 EBIT Pre R&D per plane vs. Margin
We see strong margin expansion on the A350 driven by pricing/volume



Source: Company reports, BofA Global Research estimates

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Exhibit 6: Airbus R&D as % of Sale and Absolute
Airbus has been getting leverage on R&D, but we expect them to assume a wide range in any guidance because of the next gen single aisle potential



Source: Company reports, BofA Global Research estimates

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The key debate then becomes R&D. Airbus is currently spending around €2.7bn, and we see this rising toward €3.3bn by FY29–30. In our view, Airbus would likely take a conservative stance in any mid-term framework, leaving room for product optionality around potential future programmes such as an NSA, A350-2000 or A220-500. That said, most of the current R&D base is people-related and the growth here is likely wage inflation vs. headcount, while derivative programmes would likely show up more through early programme losses than through a material step-change in central R&D. On this basis, we think Airbus could conservatively assume €3–4bn of R&D in a mid-term guide, which would still support around €10bn of EBIT for Airbus Commercial at A320 rate 75 and A350 rate 12. We would regard that as conservative, with upside from a stronger A350 profitability profile, favourable FX into 2029–30 at current rates, and our own view that underlying R&D is more likely to settle closer to €3.3bn than €4bn. We also continue to think any major NSA-related investment step-up is more likely a post-2030 event, where the R&D and EBIT impact is likely focused on the point of A320/A321 to NSA transition in the middle of the next decade.

Airbus should provide a guide for the market to refocus on the mid-term

More broadly, we believe Airbus should provide a mid-term guide. Almost every other large-cap aerospace company now frames the medium-term earnings or cash flow opportunity through explicit margin, EBIT or FCF targets, and we think Airbus has sufficient visibility from its backlog and the gradual improvement in the supply chain to do the same, even if it avoids tying the framework to a fixed calendar year. A formal mid-term anchor would, in our view, be clearly positive for the investment case by shifting focus away from month-to-month delivery noise and toward the embedded earnings power of the franchise. If investors begin to anchor around c.€10bn of Commercial EBIT (which is likely very conservative), alongside the previously communicated outlook for Defence & Space and Helicopters, the group could support c.€13bn of EBIT toward the end of the decade and around €10bn of FCF (assuming a

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27% tax rate and c.1x FCF/net income conversion). On that basis, Airbus would be trading on only c.8x mid-term EBIT and at an >8% FCF yield, which we see as attractive. We update our estimates for CapEx, Tax and dividend changes. We reiterate our Buy rating.

We are lowering our mid-term FCF forecasts to c.1x FCF/Net Income, and increasing our dividend payout ratio to 50% as per the FY25 results.

Exhibit 7: New vs. old estimates

We update our estimates to normalize FCF/Net Income at c.1x, and update our dividend payout.

	New					Old					New vs. Old				
Eur, mn	2026	2027	2028	2029	2030	2026	2027	2028	2029	2030	2026	2027	2028	2029	2030
Revenues	77,198	86,092	94,958	105,602	109,986	77,144	86,037	94,904	105,547	109,931	0.1%	0.1%	0.1%	0.1%	0.0%
EBIT (pre one-offs)	7,441	8,377	11,611	15,239	16,125	7,441	8,377	11,611	15,239	16,125	0.0%	0.0%	0.0%	0.0%	0.0%
Airbus defined EPS	6.90	7.89	11.31	15.54	17.28	6.90	7.89	11.32	15.57	17.35	0.0%	0.0%	-0.1%	-0.2%	-0.4%
FCFE (BofA def)	4,210	6,091	8,532	11,373	12,108	4,210	6,091	9,161	12,216	13,030	0.0%	0.0%	-6.9%	-6.9%	-7.1%
Net Debt (Cash)	(14,660)	(15,033)	(14,530)	(15,747)	(16,419)	(14,660)	(15,560)	(16,273)	(19,136)	(21,773)	0.0%	-3.4%	-10.7%	-17.7%	-24.6%
A220	110	115	115	115	115	110	115	115	115	115	0.0%	0.0%	0.0%	0.0%	0.0%
A320 family	635	710	780	860	860	635	710	780	860	860	0.0%	0.0%	0.0%	0.0%	0.0%
A319/A320	225	300	280	320	320	225	300	280	320	320	0.0%	0.0%	0.0%	0.0%	0.0%
A321	410	410	500	540	540	410	410	500	540	540	0.0%	0.0%	0.0%	0.0%	0.0%
A330	45	45	50	55	60	45	45	50	55	60	0.0%	0.0%	0.0%	0.0%	0.0%
A350	70	90	115	130	130	70	90	115	130	130	0.0%	0.0%	0.0%	0.0%	0.0%

Source: BofA Global Research estimates

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Exhibit 8: BofA vs. Cons

We remain ahead of consensus mid-tern driven by our ahead of A350 margin estimates and ahead of guidance A320 drop through

	BofA ests					Consensus					BofAe vs. Cons				
	FY26	FY27	FY28	FY29	FY30	FY26	FY27	FY28	FY29	FY30	FY26	FY27	FY28	FY29	FY30
Group															
Revenues															
Airbus Commercial	55,058	62,574	72,187	80,990	83,393	58,328	66,126	75,346	82,551	85,551	-6%	-5%	-4%	-2%	-3%
Airbus Helicopters	9,331	9,704	10,383	11,110	11,888	9,451	9,932	10,422	10,953	11,489	-1%	-2%	0%	1%	3%
Airbus Defence & Space	14,343	15,347	13,922	15,035	16,239	14,294	15,265	16,034	17,198	18,379	0%	1%	-13%	-13%	-12%
Other/HQ	-1,534	-1,534	-1,534	-1,534	-1,534	-1,619	-1,761	-1,935	-2,052	-2,122	-5%	-13%	-21%	-25%	-28%
Group	77,198	86,092	94,958	105,602	109,986	80,623	89,740	100,060	108,891	113,545	-4%	-4%	-5%	-3%	-3%
EBIT Adjusted															
Airbus Commercial	5,491	6,200	9,217	12,517	13,081	5,709	6,961	8,991	10,735	11,432	-4%	-11%	3%	17%	14%
Airbus Helicopters	969	1,015	1,107	1,206	1,313	981	1,048	1,117	1,188	1,321	-1%	-3%	-1%	1%	-1%
Airbus Defence & Space	1,001	1,182	1,307	1,536	1,750	881	1,024	1,169	1,396	1,556	14%	15%	12%	10%	12%
Other/HQ	-20	-20	-20	-20	-20	-22	-26	-28	-25	-26	-9%	-23%	-30%	-21%	-22%
Group	7,441	8,377	11,611	15,239	16,125	7,551	9,011	11,252	13,299	14,288	-1%	-7%	3%	15%	13%
EBIT Pre One Off Margin															
Airbus Commercial	10.0%	9.9%	12.8%	15.5%	15.7%	9.8%	10.5%	11.9%	13.0%	13.4%					
Airbus Helicopters	10.4%	10.5%	10.7%	10.9%	11.0%	10.4%	10.6%	10.7%	10.8%	11.5%					
Airbus Defence & Space	7.0%	7.7%	9.4%	10.2%	10.8%	6.2%	6.7%	7.3%	8.1%	8.5%					
Group	9.6%	9.7%	12.2%	14.4%	14.7%	9.4%	10.0%	11.2%	12.2%	12.6%					
Reported EBIT															
Airbus Commercial	5,391	6,100	9,117	12,417	12,981										
Airbus Helicopters	969	1,015	1,107	1,206	1,313										
Airbus Defence & Space	1,001	1,182	1,307	1,536	1,750										
Other/HQ	-20	-20	-20	-20	-20										
Group	7,341	8,277	11,511	15,139	16,025										
EPS Adjusted	6.90	7.89	11.31	15.54	17.28	7.14	8.55	10.95	13.14	14.32	-3%	-8%	3%	18%	21%
FCF (Pre M&A, Financing)	4,710	6,591	9,032	11,873	12,608	4,642	6,588	8,931	10,880	11,595	1%	0%	1%	9%	9%
# of shares	787	778	752	717	682	789	787	782	774	767	0%	-1%	-4%	-7%	-11%
FCF per share	6.0	8.5	12.0	16.6	18.5	5.9	8.5	11.9	15.2	17.0	1%	0%	1%	9%	9%
Conversion	87%	107%	106%	107%	107%	83%	99%	108%	115%	119%					
Airbus Deliveries Inc A220	860	960	1060	1160	1165	869	974	1083	1152	1172	-1%	-1%	-2%	1%	-1%
A220	110	115	115	115	115	110	122	133	140	144	0%	-6%	-14%	-18%	-20%
A320 family	635	710	780	860	860	651	723	796	840	847	-2%	-2%	-2%	2%	1%
A319/A320	225	300	280	320	320	232	257	270	282	282	-3%	17%	4%	13%	14%
A321	410	410	500	540	540	418	466	527	558	566	-2%	-12%	-5%	-3%	-5%
A330	45	45	50	55	60	40	43	47	50	54	13%	4%	6%	9%	11%
A350	70	90	115	130	130	69	85	106	122	127	2%	6%	8%	6%	2%

Source: BofA Global Research estimates, Visible Alpha

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Price objective basis & risk

Airbus (EADSF / EADSY)
To derive our €258 (US$76.11/ADR) Airbus price objective, we use FCF yield multiples. Our valuation is based on a multiple of 20x, a 25% premium to Airbus through cycle PE of 16x. A premium is warranted in our view in part given an improving supply chain. We use the through cycle PE multiple at our FCF target as we are confident of Airbus' ability to generate 1x FCF / net income medium term. We use this target multiple against our 2029 FCF estimates adjusted against the current forward curve and discount back to 2026.

Upside risks to our PO: 1) Euro weakness against USD, 2) a major A350/A320 order. Downside risks to our PO: 1) A350XWB experiences severe in-service disruption, 2) Supply chain disruption and causing delays on rates 3) USD weakness against the EUR.

Analyst Certification

I, Benjamin Heelan, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

EMEA - Capital Goods, Aerospace & Defence Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Accelleron	ACLIF	ACLN SW	Uma Samlin
	Airbus	EADSF	AIR FP	Benjamin Heelan
	Airbus Group	EADSY	EADSY US	Benjamin Heelan
	Atlas Copco	ATLPF	ATCOA SS	Alexander Jones, CFA
	Atlas Copco	ATLKY	ATLKY US	Alexander Jones, CFA
	Babcock International	BCKIF	BAB LN	Benjamin Heelan
	Babcock International	BCKIY	BCKIY US	Benjamin Heelan
	BAE Systems	BAESF	BA/ LN	Benjamin Heelan
	BAE SYSTEMS	BAESY	BAESY US	Benjamin Heelan
	Daimler Truck	DTGHF	DTG GR	Alexander Jones, CFA
	Epiroc AB	EPIAF	EPIA SS	Alexander Jones, CFA
	Epiroc AB	EPOAY	EPOAY US	Alexander Jones, CFA
	FLSmidth	FLIDF	FLS DC	Tore Fangmann
	Hensoldt AG	HNSDF	HAG GY	Benjamin Heelan
	Hexagon AB	HXGBF	HEXAB SS	Uma Samlin
	Hexagon AB	HXGBY	HXGBY US	Uma Samlin
	Indra Sistemas	ISMAF	IDR SM	Benjamin Heelan
	Jungheinrich Pref	JGHAF	JUN3 GY	Tore Fangmann
	KION Group AG	KNNGF	KGX GY	Tore Fangmann
	Knorr-Bremse AG	KNBHF	KBX GY	Alexander Jones, CFA
	Knorr-Bremse AG	KNRRY	KNRRY US	Alexander Jones, CFA
	Kone OYJ	KNYJF	KNEBV FH	Aron Ceccarelli
	Kone OYJ	KNYJY	KNYJY US	Aron Ceccarelli
	Kongsberg Gruppen	NSKFF	KOG NO	Benjamin Heelan
	Legrand	LGRVF	LR FP	Benjamin Heelan
	Legrand	LGRDY	LGRDY US	Benjamin Heelan
	Leonardo	FINMF	LDO IM	Benjamin Heelan
	Melrose plc	MLSPF	MRO LN	Benjamin Heelan
	MTU Aero Engines	MTUAF	MTX GY	Benjamin Heelan
	Nibe Industrier	NDRBF	NIBEB SS	Uma Samlin
	Prysmian	PRYMF	PRY IM	Uma Samlin
	Renk Group	RNKGF	R3NK GY	Benjamin Heelan
	Rexel	RXLSF	RXL FP	Aron Ceccarelli
	Rheinmetall AG	RNMBF	RHM GY	Benjamin Heelan
	Rolls Royce	RYCEF	RR/ LN	Benjamin Heelan
	Rolls Royce	RYCEY	RYCEY US	Benjamin Heelan
	Safran	SAFRY	SAFRY US	Benjamin Heelan

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EMEA - Capital Goods, Aerospace & Defence Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Safran SA	SAFRF	SAF FP	Benjamin Heelan
	Schneider	SBGSF	SU FP	Benjamin Heelan
	Schneider	SBGSY	SBGSY US	Benjamin Heelan
	Siemens	SMAWF	SIE GY	Benjamin Heelan
	Siemens	SIEGY	SIEGY US	Benjamin Heelan
	Siemens Energy AG	SMEGF	ENR GY	Alexander Jones, CFA
	Siemens Energy AG	SMERY	SMERY US	Alexander Jones, CFA
	Thales	THLEF	HO FP	Benjamin Heelan
	Volvo Group	VOLVF	VOLVB SS	Alexander Jones, CFA
	Volvo Group	VLVLY	VLVLY US	Alexander Jones, CFA
	Wartsila OYJ	WRTBF	WRT1V FH	Uma Samlin
	Weir Group	WEIGF	WEIR LN	Tore Fangmann
NEUTRAL				
	ABB Ltd	ABLZF	ABBN SW	Benjamin Heelan
	ABB Ltd	ABBNY	ABBNY US	Benjamin Heelan
	Ariston Group	XRTRF	ARIS IM	Uma Samlin
	Assa Abloy	ASAZF	ASSAB SS	Aron Ceccarelli
	Assa Abloy	ASAZY	ASAZY US	Aron Ceccarelli
	Dassault Aviation	DUAVF	AM FP	Benjamin Heelan
	Metso Corporation	OUKPF	METSO FH	Tore Fangmann
	Nexans	NXPRF	NEX FP	Uma Samlin
	Nordex SE	NRDXF	NDX1 GY	Alexander Jones, CFA
	SAAB AB	SAABF	SAABB SS	Benjamin Heelan
	Sandvik	SDVKF	SAND SS	Alexander Jones, CFA
	Sandvik	SDVKY	SDVKY US	Alexander Jones, CFA
	Schindler Group	SHLAF	SCHP SW	Aron Ceccarelli
	ThyssenKrupp Marine Systems	TKMSF	TKMS GR	Benjamin Heelan
UNDERPERFORM				
	Alfa Laval	ALFVF	ALFA SS	Uma Samlin
	Alfa Laval	ALFVY	ALFVY US	Uma Samlin
	Electrolux	ELUXY	ELUXY US	Uma Samlin
	Electrolux	ELRXF	ELUXB SS	Uma Samlin
	GEA	GEAGF	G1A GY	Uma Samlin
	QinetiQ	QNTQF	QQ/ LN	Benjamin Heelan
	Rational Ag	RTLLF	RAA GY	Uma Samlin
	SKF	SKFRY	SKFRY US	Alexander Jones, CFA
	SKF	SKUFF	SKFB SS	Alexander Jones, CFA
	Traton	TRATF	8TRA GY	Alexander Jones, CFA
	Traton	XTONF	8TRA SS	Alexander Jones, CFA
	Trelleborg	TBABF	TRELB SS	Alexander Jones, CFA
	Vestas	VWSYF	VWS DC	Alexander Jones, CFA
	Vestas	VWDRY	VWDRY US	Alexander Jones, CFA

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iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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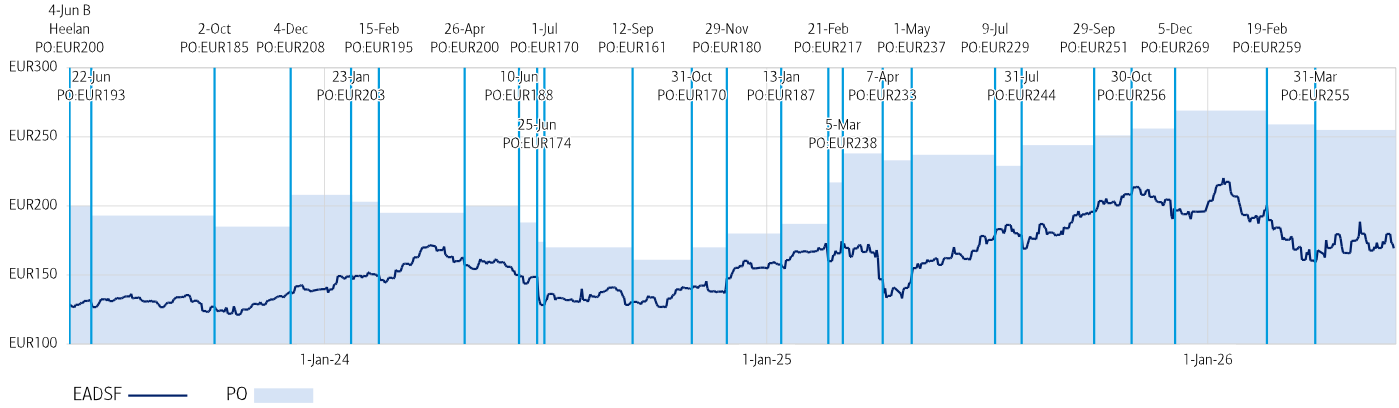
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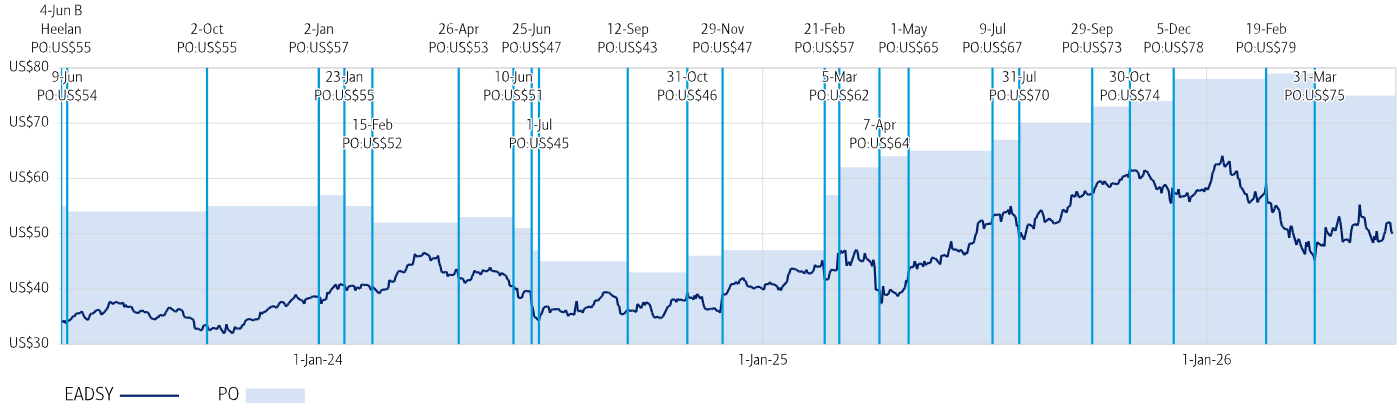
Airbus (EADSF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Airbus (EADSY) Price Chart



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Equity Investment Rating Distribution: Aerospace/Defense Electronics Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	42	71.19%	Buy	34	80.95%
Hold	10	16.95%	Hold	8	80.00%
Sell	7	11.86%	Sell	5	71.43%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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